



PRIVATE AND CONFIDENTIAL

The Children's Investment (TCI) Master Fund – Q2 2006 Report

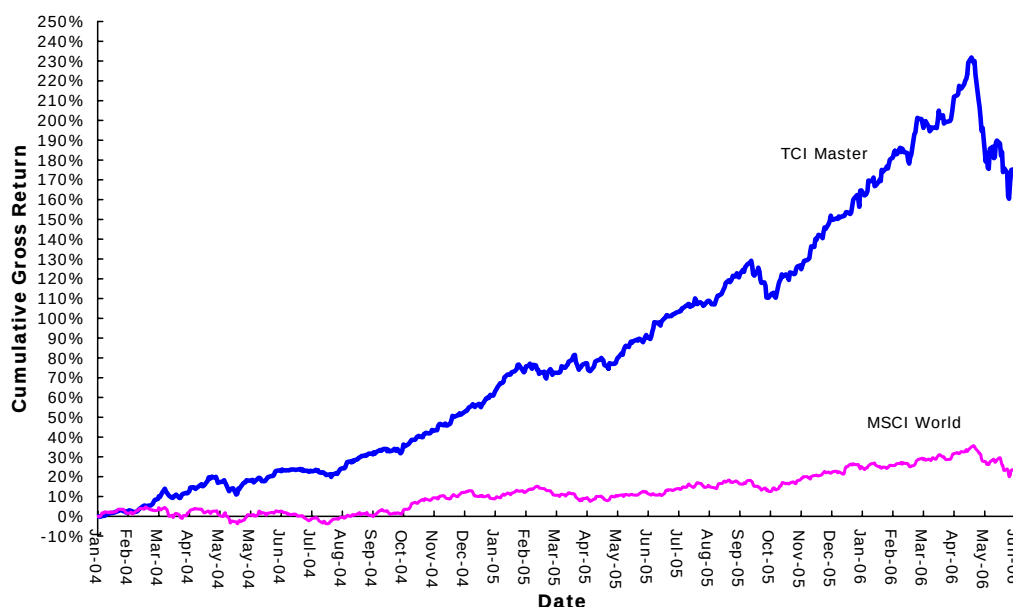
1. Fund Performance

Returns for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) \$	Class A (3Yr) €	Class B (5yr) \$	Class B (5Yr) €	Class C (5yr) \$	Class C (5Yr) €
Apr 2006	7,182	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%
May 2006	6,224	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%
Jun 2006	6,766	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%
Q1 2006		+14.07%	+13.77%	+14.61%	+14.03%	+3.14%	+2.96%
Year to Date 2006		+13.43%	+12.81%	+13.96%	+13.04%	+2.59%	+2.13%
Inception Jan 2004		+140.97%	+140.27%	+147.97%	+145.93%	n/a	n/a

Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: Class C inception was March 1, 2006

TCI Master (€) & MSCI World (\$) Since Inception



Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: Performance for TCI Master Fund is gross.

The fund ended the quarter down 0.6% gross of fees. During the quarter the European markets fell by up to 16% from the highs to lows triggered by rising global interest rates, commodity price rises and geopolitical concerns. Many emerging markets, including Brazil, India and Mexico, where we have substantial exposures, fell by 20% or more. As a result we experienced a large drawdown in May and early June which was partly recovered during the second half of June. As a long biased fund with leverage and exposures to emerging markets it is not a surprise to us that we were hit hard by these market falls, especially given our strong first quarter returns.

Overall there were no dramatic changes in the composition of the portfolio during the quarter. We increased our short exposure with stock specific shorts (and for a short time with index hedges) by some 6%. Most of the increase in the short book has been in the telecom and technology space in the US and Japan where we have been able to find shorts with a strong risk reward. Today the Fund is long 122% in outright longs and short 15% in stock specific shorts (one of which is hedged with a directly owned asset). Our net long is 108%. Today we have no index shorts. Our long book increased exposures in some basic materials stocks – Arcelor (now Mittal), Arcelor Brazil and Cemex.

During the quarter many hedge funds substantially reduced market exposures and delevered, perhaps exacerbating the market falls. We chose not to do this because the corrections had made the portfolio very cheap in our view. By-mid June, the vast majority of the portfolio showed an upside of over 50% to fair value on our analysis, with almost nothing less than 30%. That said, it was not a great feeling to have our worst daily and monthly performance, since we started the fund, coincide with our investor day.

We have no crystal ball forecasting whether the stock markets of the world will collapse and take down our investments with them – part of this will depend on fundamental factors such as the extent to which inflationary pressures in the world translate into higher interest rates. Certainly there are serious market risks. However, from a market valuation perspective we find European equities undervalued (perhaps by 20% or so) at circa 12x P/E on 2007 consensus EPS. European economies are doing fine and long bond yields in Europe at 4% may be sustainable because of high European unemployment and a balanced trade account. Of course, valuation is but one of the factors that drives markets in the short- and medium-term.

Our strategy will be to continue with our philosophy of finding long ideas in strong businesses with big value gaps and step up our search for compelling short ideas which we believe can make money over the long-term in any market environment. We continue to encourage our investors not to focus on our short-term or relative results – two of the great problems of investment life – but our long-term absolute investment record and our process. Volatility will be an opportunity over the long run if discipline is practiced to hold investments with sufficient margin of safety. Barton Biggs, in his book *Hedgehogging*, summarises it well when he says “patience is a virtue, but it is tough (for investors) to practice.”

On the short side one of our considerations is that because the lending margin allowed by prime brokers is constrained for large concentrated long positions, we do not have the capital to run a large stock specific short book at the current time. The downside of shorting index futures is our ability to add alpha is limited, and the correlation risk with our long book is material. So far an inability to find sufficient short ideas that meet our hurdle rates has been the constraint on the short side but going forward capital has become a constraint.

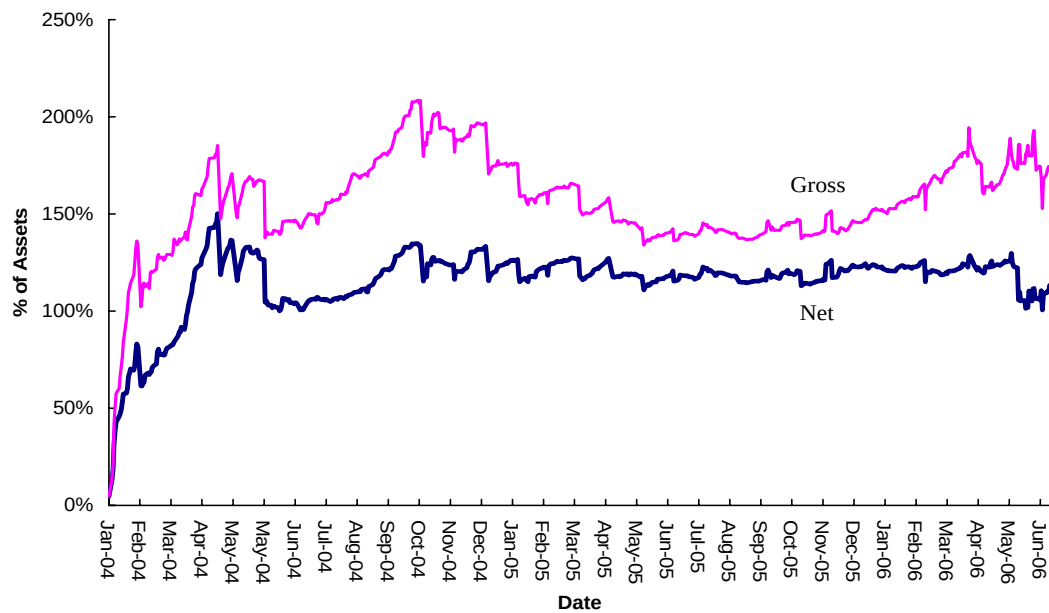
2. Key Fund Data

a. Exposure Summary

% of Master Fund Net Assets						
Period	Outright Longs	Outright Shorts	Long side Arbitrage and Pairs	Short side Arbitrage and Pairs	Gross	Net
End Jan 2006	117%	-2%	19%	-14%	152%	120%
End Feb 2006	121%	-2%	22%	-18%	163%	123%
End Mar 2006	123%	-3%	26%	-25%	177%	121%
End Apr 2006	118%	-3%	22%	-17%	160%	120%
End May 2006	120%	-15%	22%	-21%	178%	106%
End Jun 2006	121%	-7%	24%	-23%	175%	115%

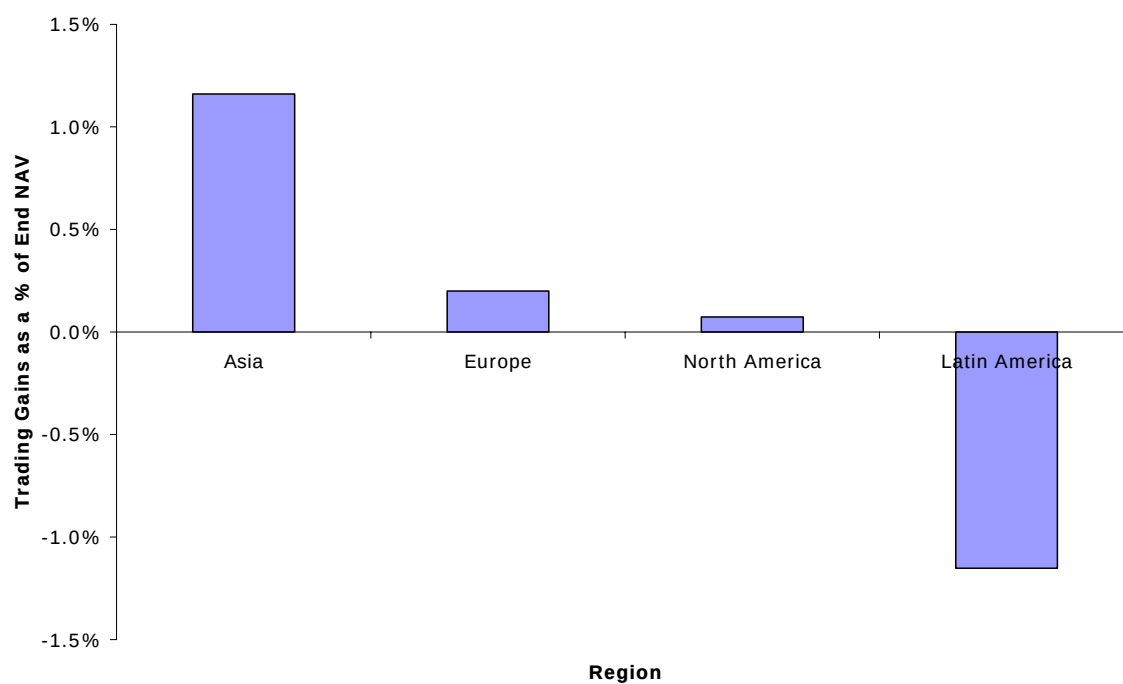
Sources: Citco Fund Services; TCI.

TCI Master Fund Exposure Since Inception



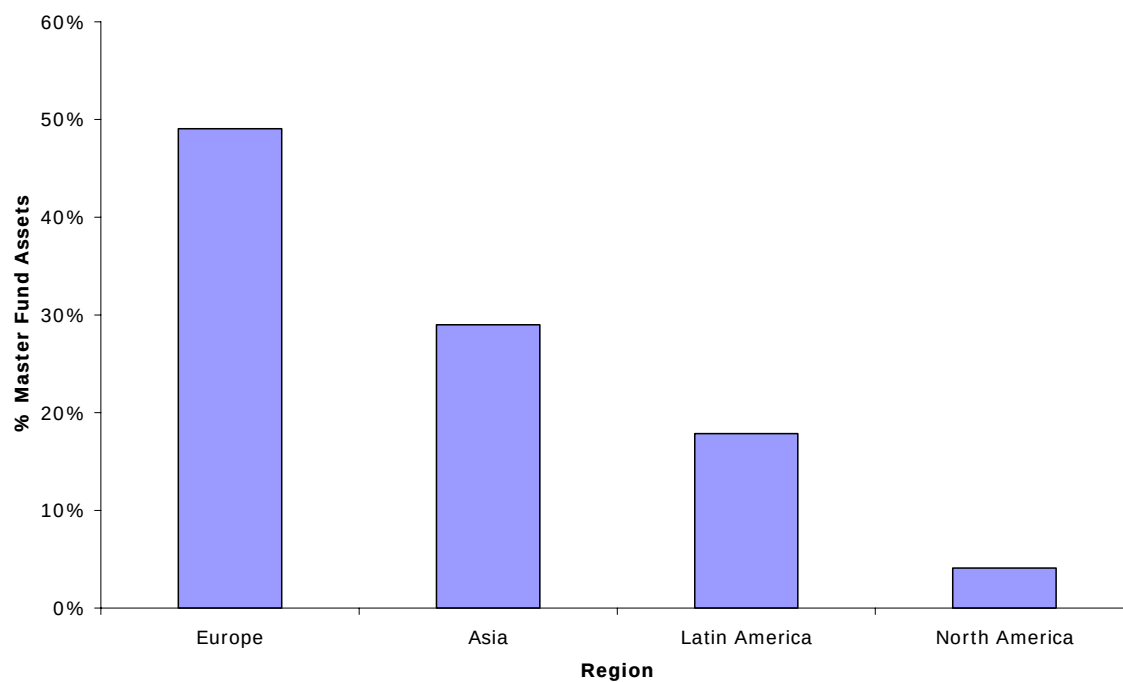
Sources: Citco Fund Services; TCI.

b. Geographic Split of Gains in the Quarter



Sources: Citco Fund Services; TCI. Notes: Total P&L represented as % of NAV approx 0.3%.

c. Geographic Portfolio Exposure



Sources: Citco Fund Services; TCI. Notes: Geographic Asset Split represented as a percentage of 100.

During Q2 2006, Asia was the greatest contributor to performance as a region, attributing around 1.2% of NAV in absolute trading gains. On a regional basis, Europe remained the largest exposure for the portfolio. Please see Appendix 2 for detailed country and sector exposure at quarter-end.

3. Performance Attribution During Q2 2006

Appendix 1 shows the key drivers of performance by position over Q2 2006. Major positive and negative contributors during the quarter were:

- ☐ Unnamed Japanese utility +1.5% of NAV
- ☐ Autostrade +1.0% of NAV
- ☐ Euronext +0.9% of NAV
- ☐ Short book +3.1% of NAV
- ☐ Deutsche Boerse -2.2% of NAV
- ☐ Link REIT -0.8% of NAV
- ☐ Indian banks -1.9% of NAV.

4. Portfolio Update

Deutsche Boerse and Euronext

At the May AGM of Euronext, there was a vote proposed by a TCI investment company on the principle of a merger with Deutsche Boerse. 38% of voting shareholders voted in favour of this proposal and 62% against. The board of Euronext shortly thereafter agreed a takeover of the company by the New York Stock Exchange for approximately €70 per share in stock and cash. This deal is subject to majority approval by shareholders.

Deutsche Boerse has made a specific proposal to merge with Euronext for cash and shares with approximately 42% of the combined company's stock going to Euronext shareholders, depending on how the stocks trade during an averaging period. They have modified their original proposal to offer the chairmanship of the merged company to Euronext with the CEO position going to Deutsche Boerse and offered equal board representation to Euronext as well as a willingness to use the Euronext IT system for the cash markets.

The French government is studying the two merger proposals but has publicly stated its preference for a European solution. This has been echoed by Trichet, the head of the European Central Bank. We believe that the concessions on governance offered by Deutsche Boerse will make the French stakeholders favour a European solution because they will have more influence over the way the company is run than under a NYSE deal. Moreover, European companies are concerned over the potential of being dragged into the net of SEC regulation.

Between the French banks, Axa and the user group of French companies, it is estimated that there is a combined 15-20% of the shares held. In addition, we believe that over 25% of the stock is held by large common shareholders of Deutsche Boerse and

Euronext who would benefit more from a merger of the two companies. Given this we still believe that there is at least a 50% probability of the Deutsche Boerse merger despite the CEO and Chairman of Euronext being hostile to this deal. The key will be seeing if the French shareholders are willing, post the French government study, to formally and publicly support the Deutsche Boerse merger.

Link REIT

Link reported its maiden set of results for the four months ending March 2006. Despite it being too early for any management actions to really come through in the numbers (they have three-year leasing cycles), they were encouraging because they showed rent increases of over 6% based solely on reversionary pricing without any change in tenant mix or active management of leases. The dividend was raised ten per cent to imply a 4% dividend yield. The analytical work that we have done gives us high confidence in the value of the REIT being materially higher than the current stock price. Whilst we think that the management team is on the right track with their strategy, we seek a more aggressive program of change than the board is currently supporting. As an 18.5% shareholder of the company (the largest by far) we think that we have a lot of power to get the results that we seek over time. We have recently requested one to two board seats and an upgrading of the board composition.

Cemex

The position in Cemex fell sharply in price during the quarter as investors sold the Mexican Bolsa aggressively. We used the weakness to increase our position which now represents 7% of NAV. It is our belief that the company trades on a 12% free cash flow yield and is growing at above GDP rates net of the capex we assume in this yield and has world class management.

In Europe and the US, which represent two thirds of profits, we believe that there are high barriers to entry in getting permits to build new cement plants due to environmental considerations. We think the US is a tight market with 30% of needs currently being met by low margin imports from the existing producers. In the event of a slowdown in the US, these imports will be cut. When we recently met the CFO of the company in London, he confirmed that their guidance of \$7 per share of free cash flow assumed a slowdown in certain markets which had not yet occurred. We continue to see no strong reason why the stock should trade at a 30% plus discount to its global competitors Lafarge and Holcim.

Autostrade

On the 23rd April Abertis, the listed Spanish motorway operator, agreed a merger with Autostrade. The terms of the deal involve Autostrade paying its shareholders a circa €4 special dividend and then receiving Abertis stock in a merger. The exchange ratio was surprisingly generous to Abertis (10% to 15% worse than we would have negotiated) reflecting, we believe, a concern by the controlling shareholders of Autostrade to protect the company from future political risk through internationalising the company. Shareholders have approved the merger at an EGM, but it is still subject effectively to approval by the Italian government who are attempting to negotiate certain conditions on the deal. If the deal is approved we would expect the stock to rally, and likewise to fall if the deal is not approved. The Italian government has no legal jurisdiction over the deal and would effectively damage incentives for future investment by Autostrade if they reject the deal.

Arcelor and Arcelor Brazil

During the quarter we made a significant investment in these two companies, with a weighting to the Brazilian stock. Arcelor is a European listed major steel producer with a Brazilian listed subsidiary generating over a third of its profits. The European investment was a bet that the hostile bid for Arcelor by Mittal Steel would be successful. Mittal raised its bid twice and Arcelor paid out a special dividend resulting in an attractive return on the Arcelor stock during the quarter. The Mittal deal has now been agreed by Arcelor.

Arcelor Brazil, is one of the lowest cost steel producers in the world. Half its business is a duopoly with Gerdau in Brazil in long steel products – a truly excellent business where distribution is owned and controlled. It trades on approximately a 16% unleveraged normalized free cash flow yield in 2007 onwards and has substantial high return growth opportunities (\$1.6bn of free cash flow on a \$10bn market cap). Our actual free cash generation we expect in 2007 is nearer \$2bn. Over time we would expect the company to be taken over by Mittal, although this may not be a priority for them in the short-term. In any event, we think that the company will pay a high dividend in order to support the high leverage taken on by Mittal.

Short Book

The short book made a material contribution to the performance of the Fund this quarter generating returns of approximately 3% of NAV despite being in aggregate on average some 14% of NAV during the quarter including net short pairs.

5. Foreign Currency Exposure

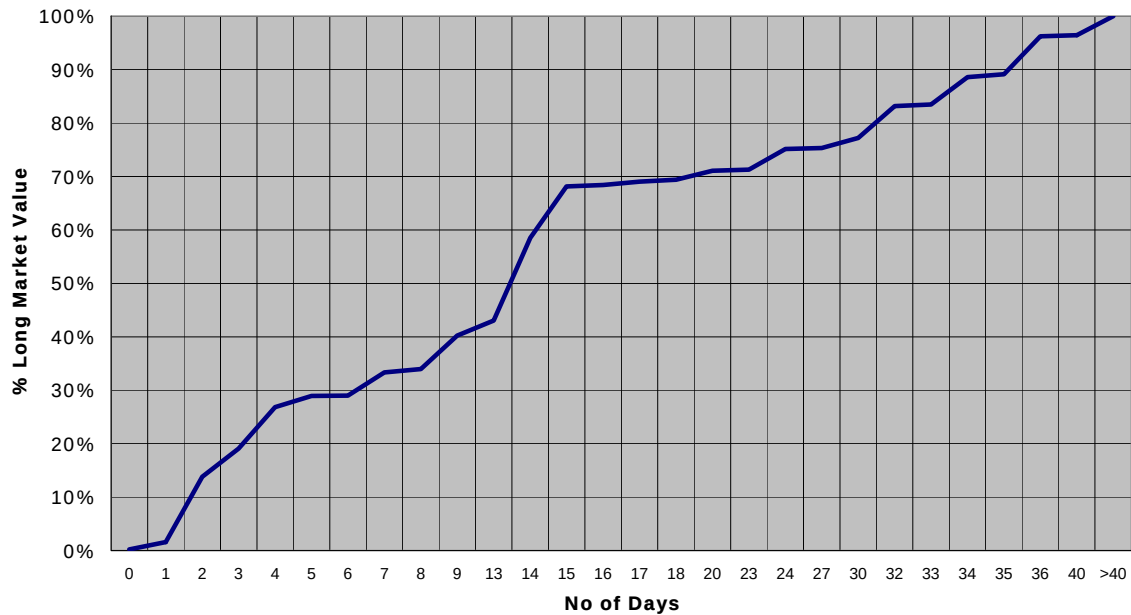
Summary of Unhedged Currency Exposures (% of NAV)	
Malaysia	0.4% net long
Mexico (listed)	7.0% net long
Indonesia	2.6% net long
Brazil	13.4% net long
China	2.0% net long
Korea	2.7% net long
TOTAL	28.1% net long

Sources: TCI

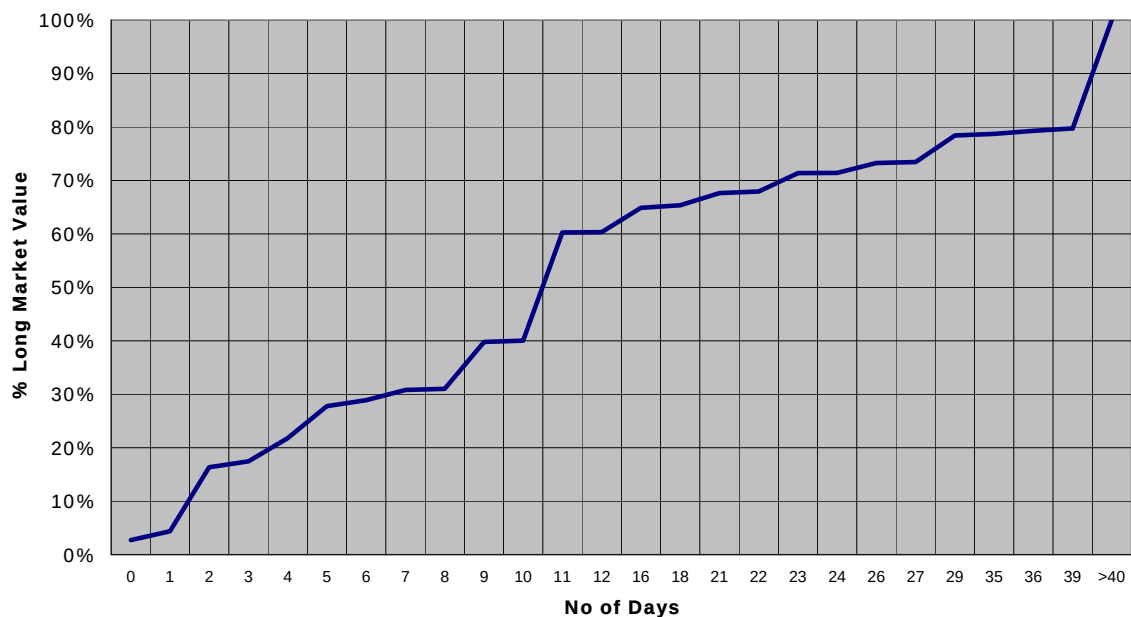
Our Mexican (and US) listed exposure is Cemex which we assume (given its mix of business) has approximately half US dollar related exposure which is not hedged. Our Indonesian asset is effectively a dollarised business in our opinion. For our Brazilian stocks we still believe that hedging the currency would be negative value added, and they remain unhedged.

6. Liquidity Analysis

TCI Master Fund Liquidity Profile Q1 2006



TCI Master Fund Liquidity Profile Q2 2006



Sources: Citco Fund Services; TCI. Notes: Analysis is based upon long positions only, including the long side of share class arbitrages.

Liquidity in the top end of the profile has declined over the last quarter, largely due to a drop in the average 3 month trading volumes in two of our largest holdings, Link REIT and our unnamed Japanese utility, which have seen trading volumes come off by some 15%. This drop in volume was consistent throughout the portfolio with many names' trading volumes dropping off by some 10%. Although it is no surprise to see liquidity

come down with the recent decline in the markets, we still maintain some 65% of the portfolio with liquidity less than 20 days volume.

7. Assets Under Management

Post our Investor Day we concluded that the market risk was rising to a point where it made sense for us to reduce risk moderately in order to avoid being a forced seller if our portfolio declined another 10-15%. Risk reduction could be effected quickly by selling positions, shorting futures or taking capital. We concluded that because our portfolio was cheap and shorting futures created basis risk, that our investors were best served by offering them all a right to subscribe at NAV for 5% additional capital. We executed this on July 1 with some 85% of investors taking up these rights.

8. The Firm

Over the last quarter, we have continued to build out the Operations and Finance teams within the business.

From an Operations perspective, we have successfully added two new officers to the operations platform, Chris Townend and Robert Craig. This takes the operations team to five people.

Another important hire made this quarter is Joseph O'Flynn. He is responsible for and will manage the Finance function. He joins us from Merrill Lynch where he ran the Equity Finance Control function and focused on building out a team and implementing finance controls across the derivatives and equity business. Prior to that Joseph worked at Goldman Sachs in Regulatory Control and Equity Prime Brokerage. He is a Chartered Accountant and member of the Institute of Chartered Accountants in Ireland.

9. TCI Affiliated Funds

a. Algebris

Algebris, the latest of TCI's affiliated funds, is currently in the last stages of its roadshow. The firm has successfully hired three analysts who will join them during the next three months: (1) a European focused analyst (with four years at Morgan Stanley and Goldman Sachs) joining in July; (2) an Americas focused analyst (with five years at Wellington Investment Management) joining in August; and (3) Asia, (Ex-CFO of a major European Insurer in Japan, who speaks both Chinese and Japanese) joining from September. The execution trader, Paul Craig from Orn Capital, (5 years at Orn and 5 years at JP Morgan) will be joining in August.

The team has been running a model portfolio which has, in the last three months, done relatively well (up 7% gross), being up in each month on the stocks positions (running 50% net long, 150% gross), and the "hedge" contributing about 3%. The firm has appointed two Prime Brokers – Morgan Stanley and UBS. Capital raising is going well and the principals will be in New York during the week of August 20th-25th for final meetings. If you would like to meet them please contact Rahul.

b. KDA Capital

KDA continues to attract significant interest and is on track to achieve its soft close target of \$1bn by year-end.

c. TCI New Horizon

During Q2 2006, TCI New Horizon took its second drawing of the original committed capital. The fund remains closed with a waitlist.

d. Parvus

For the first time in a year Parvus took a new drawing of capital. The €200m raised was to fund new investment opportunities. The fund is now closed with a waitlist.

For information on the products and services of TCI and its affiliated funds please contact Rahul Moodgal at rahul@tcifund.com or on +44 20 7440 2384.

We thank you for your continued support of TCI.

Christopher Hohn
Managing Partner

The Children's Investment (TCI) Fund Management (UK) LLP
July 2006

Appendix 1

Top Long Positions at Quarter End and their Q2 2006 Trading Gains

	% of Master Fund Net Assets	Country	Market Cap (\$bn)	Trading Gains as % of End NAV
Outright				
Deutsche Boerse	19.5%	Germany	13	-2.2%
Euronext	11.5%	France	11	0.9%
Japanese Utility	11.3%	Japan	>6	1.5%
Link REIT	9.1%	Hong Kong	4	-0.8%
Cemex ADR	7.0%	Mexico	19	-0.6%
Altria	9.7%	USA	160	0.5%
Kraft	-2.9%	USA	51	-0.2%
TOTAL	65.2%			-0.7%

Sources: Citco Fund Services; TCI.

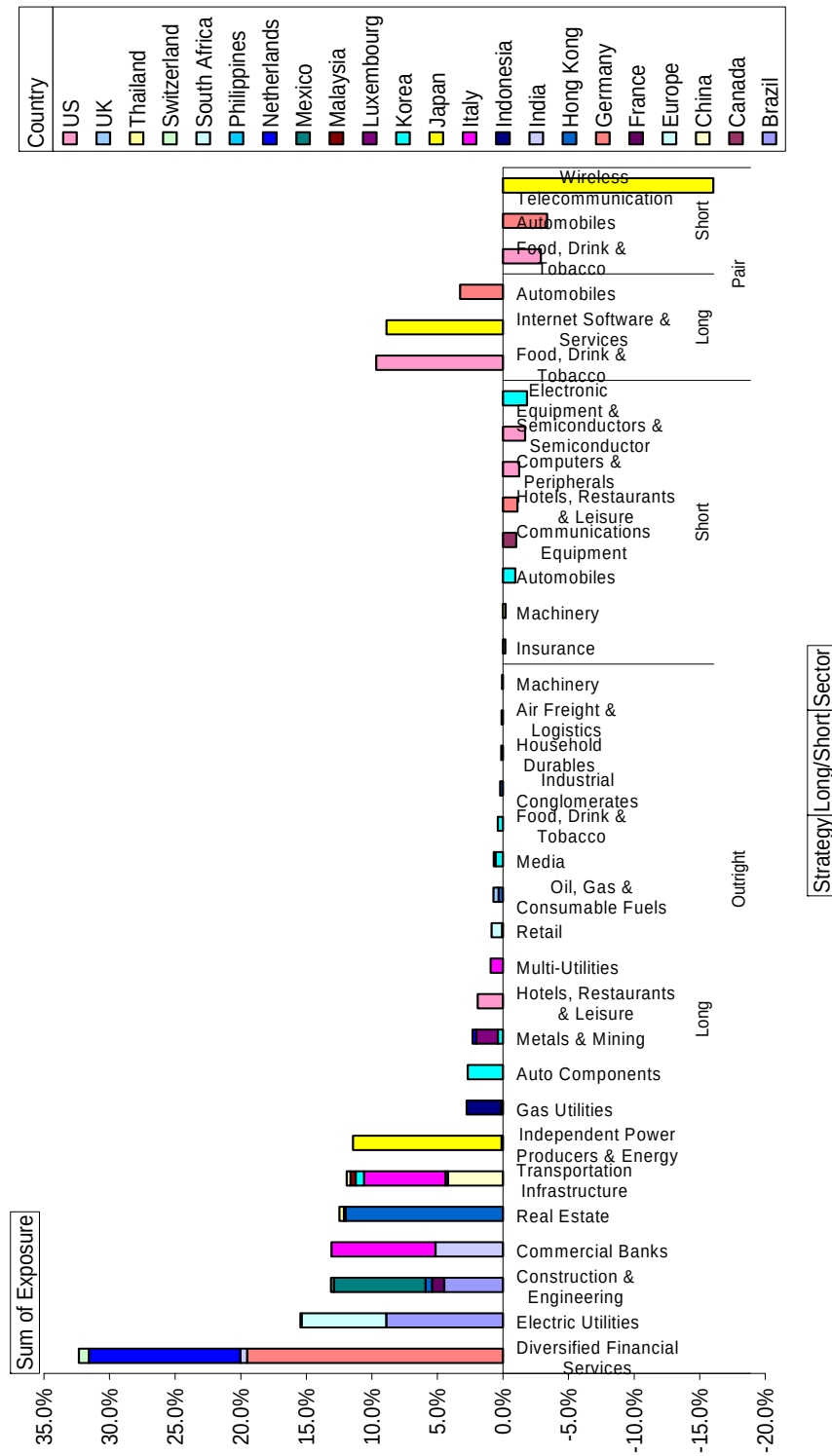
Positions Contributing Most to P&L in Q2 2006

Biggest Winners	Strategy	Trading Gains as % of End NAV
Unnamed Japanese Pair	Pair/Net Short	2.5%
Unnamed Japanese Utility	Long	1.5%
Autostrade	Long	1.0%
Euronext	Long	0.9%
Gazprom	Pair/Neutral	0.6%
Biggest Losers		
Deutsche Boerse	Long	-2.2%
Punjab National Bank	Long	-0.9%
Link REIT	Long	-0.8%
Chinese Estates	Long	-0.7%
Cemex ADR	Long	-0.6%

Sources: Citco Fund Services; TCI.

Appendix 2 – Quarter End Sector and Country Exposure

TCI Master Fund End June 2006 Exposure



Sources: Citco Fund Services; TCI.

Statistical Appendix – TCI Master Fund Performance Since Inception

Period	Master Fund Assets €m	Class A (3yr) \$	Class A (3Yr) €	Class B (5yr) \$	Class B (5Yr) €	Class C (5Yr) \$	Class C (5Yr) €	MSCI World (\$)
Jan 2004	374.8	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	531.7	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	553.6	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	734.6	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872.1	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081.2	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088.4	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,113.9	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,172.8	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187.3	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,434.6	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,588.5	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960.4	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265.0	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,274.7	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502.1	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,855.7	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,270.9	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624.3	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754.4	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055.2	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,049.8	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605.2	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,420.5	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,781.6	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012.4	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809.2	+3.14%	+2.96%	+3.25%	+3.08%	+3.14%	+3.25%	+1.96%
Q1 2006		+14.07%	+13.77%	+14.61%	+14.03%	+3.14%	+3.25%	+6.15%
Apr 2006	7,182.8	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,224.5	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,766.7	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.14%
2006		+13.43%	+12.81%	+13.96%	+13.04%	+2.59%	+2.13%	+4.94%
Inception		+140.97%	+140.27%	+147.97%	+145.93%	+2.59%	+2.13%	+27.37%

Sources: Citco Fund Services; Bloomberg LP, TCI; Notes: January 1, 2004 inception except Class C (March 1, 2006). Notes: TCI is The Children's Investment Fund Management (UK) LLP. Issued on behalf of The Children's Investment Master Fund by The Children's Investment (TCI) Fund Management (UK) LLP. This report is prepared from sources we believe to be reliable. Some figures are estimates only and should be treated as such. The value of investments may go up or down and you may not get back your original investment. Past performance is not necessarily a guide to future performance. The strategy employed may result in the NAV exhibiting a high level of volatility and so is suitable for professional investors only. The Children's Investment (TCI) Fund Management (UK) LLP is Authorised and Regulated in the UK by the Financial Services Authority.